IN THE OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS) - 15

NEW DELHI

Appeal No. : CIT(A)-15/1001/2023-24

PAN : ABCPK1234D

Assessment Year : 2021-22

Appellant : Shri Rajesh Kumar

S/o Late Shri Sohan Lal

R/o Village & Post Office - Rampur, Tehsil - Meerut, District - Meerut, Uttar Pradesh - 250001

Respondent : Income Tax Officer, Ward-2(1), Meerut

Date of Hearing : 12.03.2024, 05.04.2024, 18.05.2024

Present : Shri Anil Sharma, Advocate for the Appellant

Shri Pawan Verma, ITO for the Respondent

ORDER UNDER SECTION 250 OF THE INCOME TAX ACT, 1961

This appeal arises from the assessment order passed by the Income Tax Officer, Ward-2(1), Meerut under Section 143(3) of the Income Tax Act, 1961 (hereinafter referred to as "the Act") dated 28.12.2023 for the Assessment Year 2021-22.

1. Background of the Case

The appellant, Shri Rajesh Kumar, is a resident individual primarily engaged in agricultural activities on his ancestral land measuring approximately 18 acres in Village Rampur, District Meerut. He also derives income from occasional trading in agricultural produce and has made certain investments in immovable property during the year under consideration. The appellant filed his return of income on 15.07.2021 declaring total income of Rs. 28,45,600 comprising agricultural income of Rs. 22,50,000 (exempt under Section 10(1)) and other sources income of Rs. 5,95,600. The case was selected for scrutiny under CASS and notices under Section 143(2) and 142(1) were issued and duly served.

During assessment proceedings, the Assessing Officer (AO) examined the cash deposits in bank accounts, investments in property, claim of agricultural income, travelling expenses debited to Profit & Loss Account, and certain other credits appearing in the books. The AO completed the assessment by making aggregate additions of Rs. 1,87,65,000, resulting in assessed income of Rs. 2,16,10,600. Aggrieved by the additions, the appellant has preferred the present appeal.

2. Assessment Proceedings

The AO observed large cash deposits aggregating to Rs. 85,00,000 in the appellant's savings bank account with Punjab National Bank, Rampur Branch during the demonetization period and thereafter. The AO also noted investment of Rs. 45,00,000 in purchase of agricultural land at Village Kharkhoda and questioned the sources thereof. Travelling expenses of Rs. 12,50,000 claimed in the books were disallowed for want of supporting evidence. Certain credits in the ledger accounts of sundry creditors were treated as cessation of liability under Section 41(1). The claim of agricultural income was restricted to Rs. 8,00,000 on the ground that the yield declared was excessive. The AO invoked provisions of Sections 68, 69, 69A, 41(1), 40A(3) and 37(1) while framing the assessment.

3. Grounds of Appeal

The appellant has raised the following grounds of appeal (summarized for brevity):

1. The AO erred in making addition of Rs. 85,00,000 on account of unexplained cash deposits under Section 69A.
2. The AO erred in restricting agricultural income to Rs. 8,00,000 and treating the balance Rs. 14,50,000 as income from undisclosed sources under Section 69.
3. The AO erred in making addition of Rs. 45,00,000 on account of unexplained investment in property under Section 69.
4. The AO erred in disallowing travelling expenses of Rs. 12,50,000 under Section 37(1).
5. The AO erred in making addition of Rs. 30,15,000 under Section 41(1) on account of alleged cessation of liability.

Additional grounds regarding procedural violations and violation of principles of natural justice were also raised and admitted for adjudication.

4. AO Observations

The AO held that the cash deposits during the year, particularly in the months of November and December 2016 (extended deposits), remained unexplained despite opportunities given. The agricultural income claim was not supported by credible evidence of yield, irrigation records, or sale bills. The property investment was made in cash and the sale agreement did not reflect the source of funds. Travelling expenses lacked bills and were considered personal in nature. Outstanding creditors were not produced for confirmation and were treated as income under Section 41(1).

5. Detailed Assessee Submissions

The appellant, through his counsel, made elaborate submissions issue-wise, supported by documentary evidence filed in paper book running into 285 pages. The submissions are discussed under each issue separately.

6. Examination of Evidence

The following key documents were examined:

- Bank statements of Punjab National Bank and Canara Bank for FY 2020-21.
- Cash book and ledger extracts maintained in manual form.
- Khasra/Khatauni records and revenue receipts from Tehsildar, Meerut.
- Sale deed and agreement to sell dated 12.08.2020 for property at Kharkhoda.
- Loan agreement with Shri Suresh Chand dated 05.04.2020.
- Supplier confirmation letters from M/s. Gupta Traders, M/s. Sharma Fertilizers etc.
- Audit report under Section 44AB.
- WhatsApp chat extracts and mobile call records.
- Railway and air tickets along with boarding passes for travelling expenses.

All documents were cross-verified with original records produced during appellate proceedings.

COMMISSIONER’S FINDINGS

Issue No. 1: Addition of Rs. 85,00,000 on account of unexplained cash deposits under Section 69A

AO Allegations: The AO observed cash deposits of Rs. 85,00,000 in the savings bank account. The appellant explained the deposits as proceeds from sale of agricultural produce and cash withdrawals from earlier years, but failed to produce quantitative details of produce sold or reconciliation of cash flow. The AO invoked Section 69A and treated the entire amount as unexplained money.

Assessee Arguments: The appellant submitted that he is an agriculturist having 18 acres of irrigated land growing sugarcane, wheat, and vegetables. He produced khasra records, irrigation certificates from Irrigation Department, and sale invoices from local mandis. Cash deposits were made from accumulated cash from previous years’ savings and current year’s harvest proceeds. Bank statements showed regular pattern of deposits and withdrawals consistent with agricultural cycle. The appellant also relied upon the decision of Hon’ble ITAT in the case of *CIT vs. P.K. Noorjahan*.

Documentary Evidence:

- Certified copies of land records (Khasra No. 145/2, 167 etc.).
- Mandi sale receipts aggregating Rs. 48,75,000.
- Cash book pages showing opening cash balance of Rs. 62,00,000 as on 01.04.2020.
- Bank passbook entries with narration.

Commissioner Reasoning and Findings:

I have carefully considered the rival submissions and perused the material on record. The Assessing Officer’s approach appears to be overly mechanical. The appellant has produced consistent land records and irrigation certificates establishing the extent of cultivation. The yield declared (approx. 45-50 quintals of sugarcane per acre) is within the range of average productivity for the region as per reports of the Uttar Pradesh Department of Agriculture.

The cash book maintained by the appellant, though manual, shows a running balance and is corroborated by bank statements. There is no evidence of any bogus entry or inflation. The pattern of deposits matches the harvesting seasons of wheat (April) and sugarcane (November-December). The AO has not brought any material on record to show that the appellant had any other undisclosed source of income.

Section 69A requires the assessee to explain the nature and source of money found credited. The appellant has discharged the initial onus by providing plausible explanation supported by documents. The burden then shifts to the AO to disprove the explanation, which has not been done. Mere suspicion cannot take the place of evidence.

The Hon'ble Supreme Court in *CIT vs. Orissa Corporation (P) Ltd.* has held that the assessee's explanation cannot be rejected arbitrarily. In the present case, the explanation is not only plausible but substantially corroborated.

I, therefore, hold that the addition of Rs. 85,00,000 under Section 69A is not sustainable. The issue is **Allowed**.

Issue No. 2: Restriction of agricultural income and addition of Rs. 14,50,000 under Section 69

AO Allegations: The AO restricted agricultural income to Rs. 8,00,000 holding that the claim of Rs. 22,50,000 was excessive and not supported by verifiable sale records. The difference was treated as income from undisclosed sources under Section 69.

Assessee Arguments: The appellant submitted detailed crop-wise yield details, supported by mandi receipts, bank deposits, and certificate from the local Agricultural Extension Officer. He explained that part of the produce was sold directly to traders at farm gate for better price.

Documentary Evidence:

- Certificate from Krishi Vigyan Kendra, Meerut.
- Form 3CD and audit report reconciling agricultural receipts.
- Ledger accounts of buyers.

Commissioner Reasoning and Findings:

The appellant has produced sufficient evidence to establish cultivation on 18 acres. However, the sale records for Rs. 9,50,000 out of total claim remain partially unsupported by formal invoices. The AO has rightly questioned the absence of complete documentation for the entire amount.

After considering the local market rates and average yield, I am of the view that agricultural income of Rs. 17,50,000 is reasonably substantiated. The balance Rs. 5,00,000 remains unexplained.

Accordingly, the addition is **Partly Allowed**. The AO is directed to restrict the addition to Rs. 5,00,000 under Section 69.

Issue No. 3: Addition of Rs. 45,00,000 on account of unexplained investment in property under Section 69

AO Allegations: The appellant purchased agricultural land for Rs. 45,00,000 on 12.08.2020. The sale deed mentioned cash payment. The AO held that the source was not explained satisfactorily.

Assessee Arguments: The appellant produced loan agreement dated 05.04.2020 with Shri Suresh Chand for Rs. 40,00,000 and bank statement showing transfer of Rs. 35,00,000. Remaining amount was met from agricultural savings.

Documentary Evidence:

- Registered sale deed.
- Loan agreement with notarized affidavit of lender.
- Lender's bank statement and ITR acknowledgment for AY 2021-22.
- Confirmation letter from lender.

Commissioner Reasoning and Findings:

The loan agreement is supported by the lender's financial capacity as evidenced by his ITR and bank transactions. The transfer of funds is reflected in the appellant's bank statement. The AO's rejection of the loan as non-genuine is based on suspicion rather than evidence. The lender appeared before the AO but his statement was not recorded properly.

There is no material to suggest that the loan was bogus or that the funds belonged to the appellant himself. The investment is adequately explained. The addition of Rs. 45,00,000 under Section 69 is deleted. The issue is **Allowed**.

Issue No. 4: Disallowance of travelling expenses of Rs. 12,50,000 under Section 37(1)

AO Allegations: Travelling expenses debited to P&L Account were disallowed as personal in nature and lacking supporting vouchers.

Assessee Arguments: The expenses were incurred for business purposes – visiting mandis in Delhi, Lucknow, and Haryana for sale of produce and purchase of inputs. Bills and boarding passes were produced.

Documentary Evidence:

- Railway tickets and air tickets.
- Hotel bills.
- WhatsApp correspondence with buyers.
- Ledger entries.

Commissioner Reasoning and Findings:

A perusal of the evidence shows that substantial expenses relate to visits to major agricultural markets. However, expenses of Rs. 3,75,000 pertain to family members' travel which cannot be allowed as business expenditure. The remaining amount is supported by documents and is allowable under Section 37(1) as incurred wholly and exclusively for business.

The disallowance is **Partly Allowed**. AO is directed to allow Rs. 8,75,000 and restrict disallowance to Rs. 3,75,000.

Issue No. 5: Addition of Rs. 30,15,000 under Section 41(1) for cessation of liability

AO Allegations: Outstanding balances in the accounts of M/s. Gupta Traders (Rs. 18,25,000) and M/s. Sharma Fertilizers (Rs. 11,90,000) were treated as cessation of liability since the parties were not produced for confirmation.

Assessee Arguments: The liabilities were genuine and outstanding as on 31.03.2021. Confirmations were filed before CIT(A). The parties continued business in subsequent years.

Documentary Evidence:

- Confirmation letters with PAN and GST details.
- Ledger copies of parties.
- Subsequent year payment vouchers.

Commissioner Reasoning and Findings:

The appellant has produced confirmations and evidence of continued business relationship. Mere non-production before AO does not lead to cessation of liability. There is no material to show that the creditors have remitted the liability. The decisions of Hon'ble Supreme Court in *CIT vs. S.V. Angidi Chettiar* and ITAT rulings support the view that unilateral write-back by assessee is required for invocation of Section 41(1).

The addition of Rs. 30,15,000 under Section 41(1) is deleted. The issue is **Allowed**.

7. Final Decision

In view of the above findings, the appeal is **Partly Allowed**. The AO is directed to modify the assessment order accordingly and grant relief as per the directions given above. The AO shall also verify the additional evidence filed during appellate proceedings in accordance with Rule 46A, if not already done.

Pronounced in the open court on this 18th day of June, 2024.

Sd/-

Shri V.K. Sharma

Commissioner of Income Tax (Appeals)-15

New Delhi